What will be the effect on socio-economic mobility of the UK government's plan to impose VAT on school fees?

The UK Labour Party proposed that from 1st January 2025, all education and boarding services provided by a private school or connected person will be subject to VAT at the standard rate of 20%.[1] Around 6% of the UK's school population attend private schools, and the families utilizing private education are highly concentrated among the affluent, with an annual income above £120,000.[2] Labour party members claim that this policy is estimated to bring positive effects to the socio-economic mobility in the UK by enabling those from less-privileged segments of British society to progress hierarchically, as it can fund public education using financial resources collected from wealthier segments of society. Policy makers plan to provide more nurseries, free breakfast, and more teachers.[3] This may enhance education quality of state school system and enable working class parents to spend more time working, instead of taking care of their children.

Dissidents of the policy argued that increase in the cost of private school attendance may in fact bring negative effects to people from the lower and the middle class. They claimed that the affordability issues caused by the VAT, such as the possible increase of private school tuition and the decrease of scholarships, may cause a decline in lower to middle class students' enrolment into these schools, decreasing socio-economic mobility.[4]

Socio-economic mobility refers to the change of status, including earning and incomes, between generations or through the lens of individuals' lifetime.[5] Education is often associated with positive change of socio-economic mobility. The theory of increasing-merit selection, as shown in figure 1, demonstrates the idea that if policies on education can weaken the relation between people's class origin and their education attainment while strengthening the correlation of education attainment and class destination, this policy can increase socio-economic mobility.

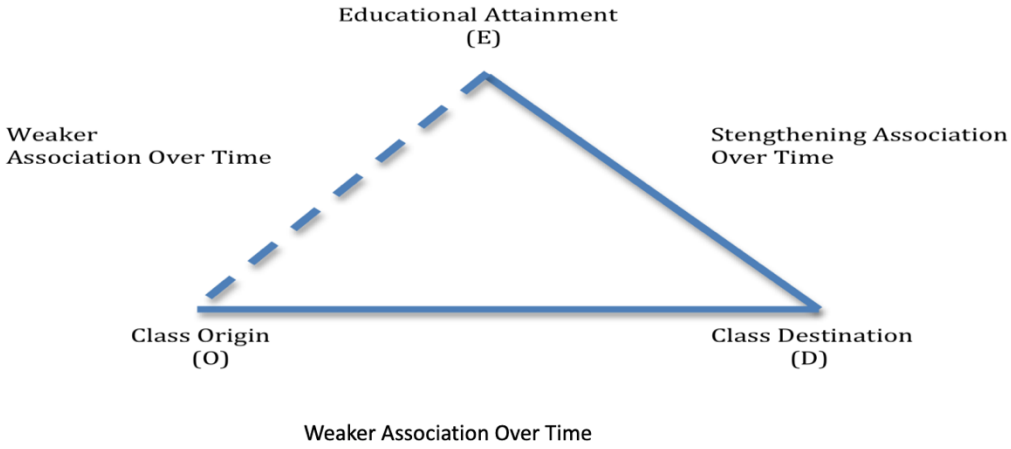

Fig.1 Hypothesis of Increasing-Merit Selection[6]

Gary Becker claimed that education and training are the most important investments in human capital, as they greatly raise a person's income.[7]There is evidence that shows college graduate holding a bachelor's degree has 86 percent higher typical earning compared to graduates whose highest degree is a high school diploma.[8] This demonstrates the positive correlation between improved education attainment and higher-class destination. However, Oxford Review claimed that private schools have around three times more resources than public schools in UK, which enabled privately educated students to have higher probabilities of going to universities and gaining a bachelor's degree, especially a prestigious university, than their state-educated peers.[9] Therefore, if the government does not provide more resources for public schools, the strong relationship between class origin and education attainment may continue to exist or strengthen.

This essay will evaluate the socio-economic effect generated by this policy from the perspectives of revenue utilities on public education, decreasing affordability of private schools, non-academic advantages of private school, regressiveness of VAT-exemption and recommendations on the policy.

The government planned to invest using fund generated from the VAT, estimated to be around £1.7 billion a year, on public school system, including providing free breakfast, hiring 6500 new teachers[10], and opening 3000 new nurseries.[11] These measures are predicted to improve

education attainment of state-school students. Breakfast is associated to academic performances, and the lack of breakfast may reduce attendance rate and scores.[12]Additionally, more teachers hired may decrease the class size of public schools, which is positive for the quality of education[13]. Furthermore, new nurseries may enhance children's cognitive growth, academic performances, and eventually income potential.[14] Nonetheless, some argue that the education benefits from decreasing class size might be limited, since class size has to be significantly reduced to 15-20 to allow the transform of teaching methods, and eventually improve education outcomes.[15] Only 6500 increase in number of teachers is insufficient to facilitate substantial changes in class size. Especially in the UK, the average primary school class size is nearly 27, meaning that there are 6 more students per class than the OECD average.[16]Others also argue that the gain from VAT might be limited, as private schools can claim VAT fund back on capital projects, consuming parts of the VAT revenue available for public investment.[17]

Moreover, VAT will raise tuition and reduce the budget of private schools, which will challenge the private school attendance of middle & lower class students. According to the ISC census, the VAT resulted in 14% general rise on school fees of private schools.[18]Private school population is estimated to drop by 6% due to the VAT, from a base of approximately 600,000 private school students[19], which will be around 36,000 students. Compared to upper-class students, middle-class students are more likely to be part of the leaving students. The quality of education received by these students will deteriorate. An IFS research shows that secondary private school students experience a 11% rise in A-level rankings for subjects favoured by universities, and a 10% increase in admission to elite universities.[20]As these middle-class students join public schools, these students might end-up in less elite universities and earn lower income. This decreases the mobility between middle-class and upper-class. The impact of private-school student displacement displays regional disparities. For instance, in Surrey County where around 20% of students attend private schools, 2,400 are predicted to be leaving and local state-funded schools have no spaces to accommodate them, raising concern.[21]

Some argue that there will also be a decrease in bursaries and scholarships available as the VAT pressures private school budget. If private schools decrease the scholarships, it will be more difficult for lower-class students who rely on financial aids to afford tuitions to enter private schools, reducing socio-economic mobility. According to the ISC annual census, the bursaries and scholarships increased over the past five years, especially means-tested bursaries, by 21%. However, it did not increase significantly in 2025 academic year, and the growth rate reduced compared to the increase between 2023 and 2024.[22] If the VAT exemption remains for private schools, the means-tested scholarship may grow even more. The financial pressure given to the private schools by the government may dampen private schools' own efforts in increasing socio-economic mobility in their enrolment.

Students leaving private schools may also be a challenge to the financial status of state-funded schools. State-funded schools must allocate resources to accommodate exiled students from private schools, therefore rising their general costs, which may neutralize the possible benefits from VAT revenue invested to public education. There is estimation that it may cost £100 million to £300 million for public schools to accommodate the incoming students.[23] However, the number of students in public schools have been decreasing, with 59,600 less pupils from 2024.[24] The decreasing population can alleviate the pressure and allow improvement of public education quality to still happen.

Intriguingly, even if the financial support from the VAT does improve the performances of students enrolled in state-funded schools and the quality of their education attainment, the socio-economic mobility in UK may not improve as expected. The reason is that improvement in academic attainments, for instance enrolling in elite universities, is not the only crucial factor of higher income and superior class destination. Instead, factors associated with attending private school itself are also relevant. A study in IFS report reveals that private school graduates were 2.5 percentage points more likely to be in a high-status occupation even after controlling for their personal characteristics, family traits, and all educational achievements. Additionally,

private schooling in England at age 13 is found to be associated with 12% greater chance of attaining work by age 25.[25]Statistics show that nearly three quarters of all High Court and Appeals Court judges attended private schools. In the media, over half of the top 100 news journalists in the country went to fee-paying schools.[26] These data indicates that the identity of private school degree holder itself is a crucial element for transcending to higher classes. Private school advantages may come from non-academic aspects like privileged social network and influential alumni/alumnus of the private schools. As tuition increases, private school affordability decreases. More middle-class families can no longer afford private education and be less competitive comparing to upper-class family children, decreasing socio-economic mobility.

Theoretically, VAT raises the barrier for studying in private schools, separating upper-class pupils and other pupils early in their lifetime. Children studying at the same campus from different stratums and learning about each other, is itself a process of increasing socio-economic mobility. During this process, new social network is built across different classes, which will be useful for lower-class students to attain higher income and career success. The VAT isolates upper-class children from their peers and aims to promote mobility by helping the middle & lower class students to compete for better education attainments. Alternative solutions that focus more on facilitating pupils from different stratums to enroll in private schools and establish trans-stratum social networks as earlier as possible might be more effective in improving socio-economic mobility.

The previous VAT-exemption for private schools also has an ideological controversy, as it causes regressive effects by allocating public funds to subsidize organizations serving the wealthier segments of the society. VAT on private school is a progressive tax that will reduce inequality, since it is similar to a luxury tax.[27] Private schools are often classified as a luxury, as most students in private school are from high income families. Removing VAT-exemption does not directly benefit public-school student families, as the policy will not decrease their

expenditure on education. The tax also barely stops upper class families from sending their children to private schools, since only 6% of these children are estimated to leave private schools. From the demand elasticity perspective, a 14% rise in price[28] with 6% fall in quantity demanded[29] is a relatively inelastic situation. This might originate from the common wealthiness among the affected families, and the lack of substitute for private education. Under these circumstances, it is evident that the VAT does not significantly reduce the inequality of the current education system. The progressive effect of this policy is primarily by improvements on public education.

Compared to removing the VAT-exemption, the government can focus on increasing the accessibility to private schools for middle and low income family students. For instance, government can keep the VAT-exemption and demand the private schools to use tax expenditure saved to provide more means-tested bursaries and scholarships for lower income students. This can effectively improve private school attendance rate of middle and lower class students to build a more stratum-inclusive pupil community. Therefore, middle and lower class students can also benefit from private-school advantages including higher chances of being admitted into elite universities and exploiting privileged social networks, etc. Socio-economic mobility will increase.

Overall, the VAT imposed to private schools generates mixed effects to the socio-economic mobility of the UK society. The fund allocated from taxing wealthier families studying in private schools may effectively support public education and increasing mobility. However, middle-class students that are forced to leave private schools may suffer from decreased education quality and loss of other non-academic benefits from attending private schools. This may decrease mobility between middle and upper class. I would recommend government to remain the VAT-exemption for private schools, but restrict the saved fund to be used in adding means-tested bursaries and scholarships, which allow more middle and low income family to be able to afford private schools and enjoy its benefits.

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